BOARD OF CBA

MINUTES
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Refinancing Rate for September of 2012

The 4th of September 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Vakhtang Abrahamyan, Oleg Aghasyan and Armenak Darbinyan.

The Board Meeting opened with presentation of Situation Report as of end-July and addressed the current developments on inflation, external environment and real, fiscal and monetary sectors.

In August 0.4 percent of deflation was recorded, and the 12-month inflation reached 2.5 percent, going up by 0.2 pp against the previous month's indicator. In August too, with almost unchanged non-food prices and service tariffs, the monthly deflation was totally due to seasonal fall in prices of food products (with 0.4 pp of contribution to deflation). A notable price decrease continued to be reported in item "vegetable and potato", which was as much as 9.2 percent (with 0.6 pp of contribution to deflation).

In the period January-July of 2012, relative to the previous reference period, the Economic Activity Indicator has been 7.7 percent. Based on the last 7 months' results, growth of economic activity was again attributable to output volumes reported in industry and agriculture, having increased by 13.4 percent and 10.2 percent, respectively. The growth of output in services was in line with the forecast, 5.5 percent. Construction further trended downward (5.2 percent).

In the period January-July of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 13.1 percent and 6.4 percent, respectively. Private remittances of individuals have grown in the meantime by 8.6 percent y-o-y.

In the financial market in August, monthly interest rates further trended down. As a result, interest rate of stock exchange-traded interbank loans has reduced to 8.0 percent, the refinancing rate's current level. Average interbank repo rate amounted to 10.0 percent, and market rate of treasury bills with up to 1-year of maturity made up 9.4 percent.

In the foreign exchange market in August, the Dram began to appreciate: relative to the previous month's average, the dram appreciation versus the U.S. dollar was 0.4 percent to AMD 410.9; it however depreciated versus Euro by 0.5 percent to AMD 509.1 and versus Ruble by 1.24 percent to AMD 12.9.

The monetary policy in August was mainly in line with the baseline scenario as outlined in Q3 2012 Program. The monetary indicators in August performed as follows: the 12-month growth of broad money and dram broad money were 24.3 percent and 18.9 percent, respectively; the y-o-y growth of dram deposits and foreign currency deposits were, respectively, 26.6 percent and 31.7 percent (or 17.7 percent when impact of the exchange rate is excluded). Growth rates of lending to the economy remained strong in August (34.3 percent y-o-y), in which structure loans in foreign currency again prevailed.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

In the second quarter of 2012, relative to the same quarter of the previous year, there has been 0.5 percent of economic decline in Euro-area, against 0 percent growth in the first quarter of 2012. Economic growth has slowed down in the U.S.A., reaching 1.7 percent in the second quarter from the previous quarter's 2 percent.

In August the U.S. Federal Reserve Fund left the policy rate unchanged, in the range of 0-0.25 percent, in consideration of moderately growing economy and inflation expectations anchored in a medium-term perspective, announcing a possibility to exercise quantitative easing in some future period.

In view of a slowly stabilizing economy, the European Central Bank left the policy rate unchanged in August after having it lowered by 0.25 pp in July.

In August international prices in main commodities and food markets showed stabilization and even minor inflationary trends on the whole.

Persisting geopolitical tension in the Middle East as well as anticipated QE by the Fed prompted the average price of "Brent" crude oil to go up in August by around 9.8 percent in relation to the previous month (with y-o-y growth of 2.9 percent). The price of gold grew by 1.9 percent (with y-o-y decrease of 8.2 percent). The copper price fell by 1.0 percent (with y-o-y decrease of 16.8 percent).

In August the Food Price Index of FAO dropped merely by 0.1 percent against the previous month's index, under which circumstance the declining rates slowed down to 8.9 percent. The rice price rose by 2.5 percent (with y-o-y decrease of 7 percent) but the sugar price dropped by 9.0 percent as harvesting in Brazil resumed. There was 1.1 percent rise in wheat prices in world markets in August (with y-o-y increase of 6.9 percent), which was more pronounced in July when as much as 25.1 percent increase was reported. In the last 8 months the wheat price has risen by roughly 30 percent which reflected the domestic price behavior.

The third quarter of 2012 estimations suggest that private consumption is going to report higher growth, 7.4 percent, against the previous forecast of 3.9 percent, whereas private investment is estimated to contract a little, by 2.4 percent instead of the previously forecast growth of 6.3 percent.

With public expenditures and revenues having almost the same amount of contractionary influence, the fiscal policy's impact on domestic prices will be 1.1 pp contractionary.

The Board evaluated that the developments in external sector and domestic economy in August were mainly in line with the baseline scenario as outlined in Q3 2012 Program. Further uncertainties over political solutions regarding debt problems in developed countries will provide for a sluggish global demand in the forecast horizon. On the other hand, the continued rise in world what markets created an inflationary environment in food markets, which in part was reflected in domestic price behavior.

The impact of developments in the Armenian economy on domestic prices is predicted to be inflationary in the forecast horizon, which is determined by faster growing rates of private consumption. This will be somehow offset by contractionary impact of the fiscal policy.

Developments in the last months' inflation environment have been mainly consistent with the baseline scenario set out in Q3 2012 Program. This will prompt the Board to expect the 12-month inflation to rest within the confidence band of 4% $\pm$ 1.5 pp in the forecast horizon.

At the same time the Board keeps on narrowing the interest rate spread between its Deposit and Lombard Facilities down to 4 pp from 5 pp, which is aimed to reduce interest rate volatility in the interbank market.

In the 4th of September 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 10 percent and 6 percent, respectively.